Unemployment hits a five-year high as big employers cut jobs

> Australia's unemployment rate rose to 4.7% in September, its highest in nearly five years. Banks and miners are announcing job cuts, and economists warn the risk of recession is rising.

WHAT HAPPENED

- NAB plans to cut up to **2,500 jobs** (about 6% of staff) this financial year, and BHP has confirmed cuts at its WA iron ore operations.
- RBA Governor Michele Bullock has said unemployment of 4.5–5% would likely ease inflation pressure, and that it might take 5%.
- Former NAB chief economist Alan Oster expects **4.8%** by early next year, or 5% if rates rise again. He would call 5% a recession.
- Labour productivity (GDP per hour worked) fell **0.2%** over the year to June.

KEY TERMS

Cyclical unemployment: joblessness caused by weak demand in a downturn.

NAIRU: the unemployment rate consistent with stable inflation.

Phillips curve: the short-run trade-off between inflation and unemployment.

BY THE NUMBERS

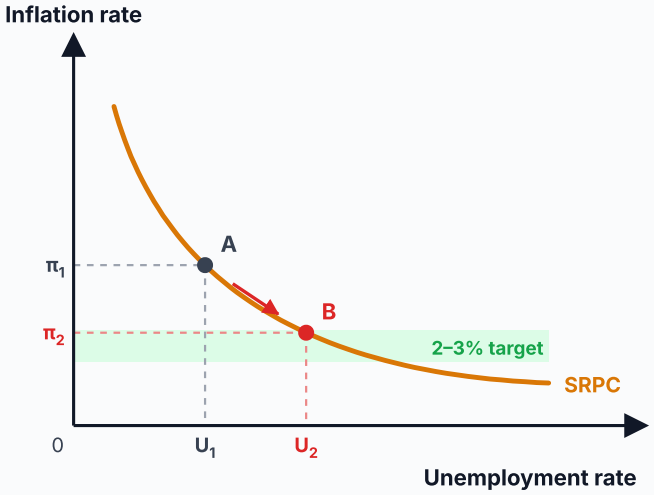
4.7%
unemployment rate, September (a five-year high)

2,500
NAB job cuts (about 6% of staff)

4.8%
Oster's forecast for early 2027

−0.2%
productivity over the year to June

DIAGRAM — The cost of bringing inflation down



Rate rises slow spending, so firms hire less and cut costs. The economy moves **down the short-run Phillips curve** from **A to B**.

Unemployment rises from **U_1 to U_2** and inflation eases from **π_1 to π_2**, towards the green 2–3% target band.

Exam angle: the RBA is aiming for a **soft landing**: just enough rise in unemployment to cool inflation. The risk is a feedback loop of job cuts, weaker spending and more job cuts.

FLOW CHART — The feedback loop economists are watching

Higher rates and costs → Firms cut costs and jobs → Unemployment rises → Household spending falls → **Risk of more job losses**

SYLLABUS LINK

TOPIC 3: unemployment. Its types and causes, its economic and social costs, and the trade-off with inflation.

TRY THIS

Explain the relationship between inflation and unemployment, with reference to the Phillips curve. **(4 MARKS)**

Articles: ABC News, 'The more big companies axe staff, the closer we get to a recession', 20 Oct 2026 — https://www.abc.net.au/news/2026-10-20/nab-layoffs-big-companies-axing-staff-closer-recession/107288940 · ABC News, 'RBA deputy warns inflation outlook materially worse', 21 Oct 2026 — https://www.abc.net.au/news/2026-10-21/reserve-bank-hauser-warns-inflation-outlook-materially-worse/107288574 · CathNews (republishing Guardian Australia), 'Budget update projects weaker growth and higher unemployment', 23 Oct 2026 — https://cathnews.com/2026/10/23/budget-update-projects-weaker-growth-and-higher-unemployment/